

Quarterly Review

What the curve priced, and what it did not

Rates Strategy · Quarter ending 30 September · Issue 001

Market Snapshot

S&P 500 5,234 +1.42%	UST 10Y 4.28% +6 bps	GOLD 2,411 +0.85%
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Narrative

The curve steepened through the quarter as the front end repriced. Duration added to returns for the first time in four quarters.

Factor Returns

FACTOR	1M	YTD
Value	+1.8%	+7.4%
Momentum	-0.4%	+11.2%

Hermes Research as of 30 September 2026

Appendix — Methodology

Factor returns are computed long-short and gross of transaction costs.

Important Disclosures

Prepared for professional clients. Past performance is not a guide to future returns, and the figures above are gross of fees.